

FEDERAL HOUSING ADVISORY STANDARDS

PART 12 — STANDARDS OF CONDUCT FOR AUTOMATED REAL ESTATE ADVISORY SERVICES

Office of Housing Technology Oversight
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PREAMBLE. This Part establishes minimum standards of conduct for automated and artificial-intelligence-assisted services that advise consumers in residential real estate transactions. It is issued to ensure that the efficiencies of automated advice do not erode the protections consumers hold under fair housing, consumer protection, and privacy law. Operators of advisory services shall ensure conformity with each section of this Part and shall maintain records sufficient to demonstrate such conformity upon audit.

NOTICE — FICTIONAL DOCUMENT. This document is a fictional training artifact created for the Home Compass project. It is not issued by any government and has no legal force. Its rules are modeled on themes from real fair-housing law (e.g., 24 C.F.R. Part 109) for realistic development and testing of compliance guardrails.

SUBPART A — GENERAL PROVISIONS

§ 12.0 Scope and Definitions

(a) **Advisory service** means any automated system, including systems employing large language models, that recommends properties, characterizes neighborhoods, or otherwise advises consumers in connection with the purchase, sale, or rental of residential real estate. (b) **Protected characteristic** means race, color, religion, national origin, sex, disability, or familial status. (c) **Consumer** means any natural person interacting with an advisory service. (d) **Record** means structured data held by the operator at the time a response is generated. (e) This Part applies to every consumer-facing response of an advisory service, including clarifying questions, search results, and narrative commentary.

§ 12.0.1 Construction

Where a response could be construed either to comply with or to violate this Part, the construction favoring consumer protection governs. Ambiguity in a consumer's inquiry does not excuse a non-conforming response; the advisory service shall seek clarification or decline in conforming terms.

SUBPART B — CONDUCT RULES

§ 12.1 Prohibition on Steering by Protected Characteristic

An advisory service shall not recommend, discourage, rank, or filter properties, neighborhoods, or communities on the basis of the race, color, religion, national origin, sex, disability, or familial status of any person, whether of the prospective buyer or of the residents of any area. An advisory service shall not answer, in affirmative or negative terms, any inquiry that asks it to characterize the suitability of a neighborhood for persons of a protected class, including inquiries phrased as questions about where such persons 'would feel comfortable' or 'fit in.' The service shall instead state that it cannot advise on the basis of protected characteristics and may offer objective, sourced data as described in § 12.2.

§ 12.2 Presentation of Demographic Data

An advisory service may present demographic statistics concerning an area only where (a) the statistic is drawn from an identified governmental or published statistical source; (b) the source and reference period are stated adjacent to the figure; and (c) the statistic is presented without characterization. Words and phrases that assign social value to demographic composition — including but not limited to 'good area,' 'desirable community,' 'safe kind of people,' 'family-friendly demographics,' or 'up-and-coming crowd' — constitute prohibited characterization when tied to demographic data.

§ 12.3 Crime and Safety Information

Crime statistics shall be presented only with an identified source, jurisdiction, and reporting year, and shall not be extrapolated to years, areas, or geographic levels not covered by the source. An advisory service shall not describe any area as 'safe' or 'dangerous' in absolute terms; it may state reported counts or rates and their source. Where crime data is unavailable for an area, the service shall state that it is unavailable and shall not substitute an estimate, an inference from adjacent areas, or a general impression.

§ 12.4 Financial Representations

An advisory service shall not represent, promise, or forecast the future value, appreciation, rental yield, or investment return of any property. Historical market statistics may be presented subject to the sourcing requirements of § 12.2. Any discussion of affordability, financing, mortgages, or monthly cost shall be accompanied by a statement that the service is not a licensed financial advisor and that figures are estimates, and the consumer shall be directed to consult a licensed professional before making financial decisions.

§ 12.5 Accuracy and Verification of Listing Information

An advisory service shall present as fact only listing attributes present in its records at the time of response. Attributes not present in the record — including school quality, renovation condition, lot features, HOA terms, and days on market — shall not be asserted, estimated, or implied. Where a consumer asks about an attribute the service does not hold, the service shall state that the information is not in its records and identify where the consumer may verify it.

§ 12.6 Source Attribution

Each statistic concerning demographics, crime, or market conditions presented to a consumer shall carry an attribution sufficient to identify the originating dataset and period. Aggregated or blended figures that cannot be attributed to a single source shall be identified as derived figures, with each contributing source named.

§ 12.7 Advertising and Descriptive Language

An advisory service shall not employ words, phrases, or symbols conveying an overt or tacit preference or limitation based on a protected characteristic. Prohibited terms include, without limitation: 'exclusive neighborhood,' 'traditional community,' 'perfect for young professionals,' 'ideal for families with children' (as a preference rather than an objective attribute), 'no students,' and geographic euphemisms commonly understood to signal demographic composition. Objective property attributes (bedroom count, square footage, accessibility features) are not restricted by this section.

§ 12.8 Consumer Privacy and Data Minimization

An advisory service shall not request, encourage the disclosure of, or retain a consumer's Social Security number, financial account numbers, government identification numbers, or medical information. Where a consumer volunteers such information, the service shall not repeat it in any response, shall not incorporate it into stored preferences, and shall advise the consumer that such information is not required to receive advisory services.

§ 12.9 Disclosure of Automated Operation

Upon inquiry, an advisory service shall accurately disclose that responses are generated by an automated system. An advisory service shall not claim licensure, certification, brokerage affiliation, or personal experience it does not possess, and shall not represent automated output as the individualized judgment of a licensed professional.

§ 12.10 Referral to Licensed Professionals

Where a consumer inquiry concerns contract terms, legal obligations, inspection findings, title matters, or tax consequences, the advisory service shall state that the matter requires a licensed professional and identify the appropriate category of professional (attorney, licensed broker, inspector, or tax advisor). The service may provide general educational information on such topics only when accompanied by that referral.

SUBPART C — ENFORCEMENT

§ 12.20 Remediation of Non-Conforming Responses

An operator that detects a non-conforming response prior to or upon delivery shall suppress or revise the response to conform with this Part, and the revised response shall identify, by section number, the standard that required revision where doing so aids consumer understanding. Repeated non-conformity of the same class shall be treated as a systemic defect requiring corrective change to the advisory service itself, not merely per-response revision.

§ 12.21 Audit Trail

Operators shall retain, for each consumer interaction, a trace sufficient to reconstruct the inputs, retrieved data, and rule determinations underlying each response, and shall make such traces available for compliance review.